GMS WEEKLY

Your Source for Recycling News

June 24th, 2022
Volume 239, Issue 1037
Week 25

Highlights:

- **Market turmoil.**
- **Lacking supply.**
- **500s/LDT.**
- **Reaping rewards.**
- **Muted summer.**
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QUOTE of the WEEK

"Coming together is a beginning. Keeping together is progress. Working together is success."

– Henry Ford

MARKET COMMENTARY

NEW NORMAL!

All of the major global recycling markets remain in turmoil for yet another week, with very few offers forthcoming (matching the near invisible number of units currently available for recycling), in addition to an utter lack of confidence from Recyclers across all locations that any sort of recovery is quite clearly not in the ropes anytime soon.

There is the ongoing excruciating reminder that there are virtually no candidates to work on, as most Ship Owners are abstaining from recycling vessels from their aging fleets that have surprisingly found profitable chartering businesses across their respective sectors.

For those Owners with absolutely no other option on their near recycling-age units, other than a costly drydock & BWTS installations to consider, it would be a rude and jarring awakening to the fact that the sub-continent markets have tumbled well below USD 600/LDT, and as such, offers beginning with USD 5XXs/LDT should now be considered the new norm.

This is an astonishing fall from the exceptional numbers seen recently that were well in-excess of USD 700/LDT and that too only a few short months ago – certainly a well-timed achievement for the (lucky) few Ship Owners who managed to conclude their units at these remarkable levels.

On the West end, Turkey seems to be the hardest hit with steel plate prices (import and local steel) continuing their nosedive into the abyss, with vessel prices being the hardest hit.

Notwithstanding, as vessels of 20 (and even 25) years of age continue to trade and make money, there seems even less of a need for experienced Cash Buyers to panic, as there is certainly the opportunity to do a quick run (or two) on these aging units, just to ensure they break even on the deal.

As such, it certainly seems destined to be a noticeably muted summer / monsoon season ahead, with all markets deprived of tonnage, a monsoon season that is already hammering Chattogram, and collapsing fundamentals contributing to the near comical state of affairs, especially as this new reality on lower prices starts to bite.

For week 25 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	600 / LDT	610 / LDT	620 / LDT
2	India	Weak	590 / LDT	600 / LDT	610 / LDT
3	Pakistan	Weak	570 / LDT	580 / LDT	590 / LDT
4	Turkey	Collapsing	240 / LDT	250 / LDT	260 / LDT

BANGLADESH

FOLLOWING DOWN!

Not entertaining.

Bangladesh has decided to follow the way of its Indian and Pakistani counterparts, as Chattogram Buyers are refusing to entertain any of the few available vessels with firm or even remotely reasonable offers (in some cases).

Steel plate prices continue their volatility with reportedly, another USD 16/Ton decline this week, in addition to a depreciating currency that is now sitting at an all-time record-low of nearly BDT 93 against the U.S. Dollar – a fact that has butchered local sentiments given that the Bangladeshi Taka has historically been the stronger / stable element of domestic fundamentals.

Minimal sales.

As such, minimal sales continue to take place on the back of shaky fundamentals, and despite the government trying to urge the economy and trade forward again (via the recent budget announcement and stimulus package), it still may be some time before we start to see plots filling up again, especially with the locally favoured large LDT tonnage and business resumes at pace.

NO MARKET SALES REPORTED

INDIA

PANICKED WEEK!

India has endured another panic-stricken week, as the currency continues to weaken against the U.S. Dollar (currently puttering around Rs. 78.30), in addition to local steel plate prices that spiralled down nearly USD 20/Ton by mid-week, only to recover USD 10/Ton before the week ended – the true roller-coaster that has come to define the Indian market.

Prices descend.

As such, the domestic ship recycling industry remains in a perilous state for yet another week, with the only saving grace having been the repetitive performance of this market where sentiments – though shaky even now – are starting to get immune to these often wildly fluctuating plate prices by almost USD 20/LDT per day.

Scarcity in supply.

Like the other markets, there have been some opportunistic numbers thrown around and mixed in with the ongoing scarcity of tonnage, the reality is it is not going to be a busy summer in Alang.

NO MARKET SALES REPORTED

PAKISTAN

Doors closed!

New depths.

As has become a bit of a tradition of late, the Pakistani market has plummeted to new depths with some insultingly opportunistic numbers towards the mid USD 500s/LDT being bandied about when tonnage inquiries are being presented to Gadani Buyers.

Of course, no Recycler is going to secure any tonnage at or around such levels, and even then, there would still be a giant question mark surrounding the safe conclusion of the transaction, so terrible has been the state of recent deliveries in Gadani.

Lacking.

Therefore, the Pakistani market may as well close its doors for the time-being, especially until some seriousness and reliability comes back to the buying.

NO MARKET SALES REPORTED

TURKEY

NO END IN SIGHT!!

The seemingly limitless freefall that is now the Turkish market has entered its 6th week and there seems no end to the madness.

Plate drop continues.

Local steel plate prices have lost another USD 30/Ton whilst import steel does it worse with another USD 40/Ton shredded on its end.

The currency isn't doing much better, jumping around the TRY 17 mark against the U.S. Dollar (one of the lowest on record) keeping local sentiments on the fringe, through a scarcity of tonnage that hasn't spared the Turkish market either.

Far more precipitous.

Making matters worse, with some vessels now being quoted as low as USD 240/MT, the decline in vessel prices from this market has been far more precipitous in comparison to the sub-continent markets.

However, unlike the sub-continent markets, it will also be a quiet summer for this market.

NO MARKET SALES REPORTED

AMAZING FACTS

- *What do Miss Piggy and Yoda have in common? They were both voiced by the same person, puppeteer Frank Oz.*
- *Psycho was the first movie to show a toilet flushing.*
- *One of the most famous movie lines in history was never said. We often quote, "Play it again, Sam," from Casablanca; but the real line is, "Play it, Sam. Play 'As Time Goes By.'"*
- *The cornea is one of only two parts of the human body without blood vessels. The cornea is the clear part of the eye that covers the pupil and other parts of the eye. Cartilage and the cornea are the only types tissue in the human body that do not contain blood vessels, according to scientists at the Harvard Department of Ophthalmology's Schepens Eye Research Institute.*
- *The world's first animated feature film was made in Argentina. Even if you know a lot of Disney trivia, you might assume that the honor of first animated feature film belongs to Walt Disney's 1937 movie Snow White and the Seven Dwarfs. But 20 years earlier, a full-length animated feature film was made in Argentina. It was a political satire called El Apóstol made up of 58,000 drawings and had a running time of 70 minutes, according to the Guinness Book of World Records.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
July 10 – Eid-Al-Adha	June 25 – July 04 July 10 – July 19 July 26 – July 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
July 01 – Bank Holiday July 09 – July 11 – Eid-Al-Adha	June 29 – July 02 July 13 – July 16 July 29 – July 31

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in July	July 09 – 12 – Eid-Al-Adha	July 09 – 12 – Eid-Al-Adha

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ALANG - Port Position as of June 24, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Lady Margaux	2,300	LPG	Arrived June 22
2	*Odin*	*15,285*	*Passenger Vessel*	*Beached June 18*
3	*Rich*	*7,199*	*RoRo*	*Beached June 17*
Total Tonnage		**24,784**		

CHATTOGRAM - Port Position as of June 24, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ariana	15,672	Tanker	Arrived June 22
2	Cape Shanghai	22,396	Bulk Carrier	Arrived June 21
3	Cui Hua	5,491	Bulk Carrier	Arrived June 19
4	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
5	Mikasa	1,435	RoRo / Cargo	Arrived June 20
6	Winton T128	975	Bulk Carrier	Arrived June 23
Total Tonnage		**62,854**		

GADANI - Port Position as of June 24, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Admarine 100*	*8,763*	*Tanker*	*Beached June 23*
2	*Eagle II*	*2,000*	*Tanker*	*Beached June 08*
3	*Fortune*	*3,500*	*Tanker*	*Beached June 22*
4	*Westin*	*3,803*	*Tanker*	*Beached June 11*
Total Tonnage		**18,066**		

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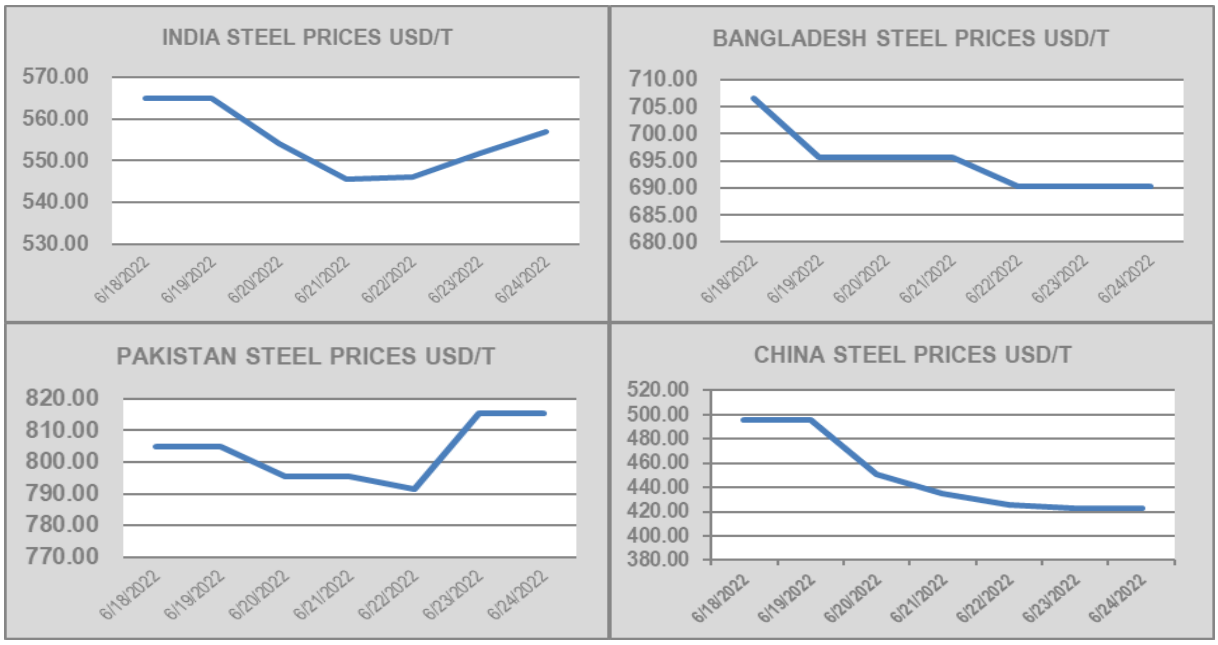
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
6/18/2022	564.88	44,100.00	804.82	167,000.00	706.52	65,000.00	495.35
6/19/2022	564.88	44,100.00	804.82	167,000.00	695.65	64,000.00	495.35
6/20/2022	553.99	43,200.00	795.29	169,000.00	695.65	64,000.00	450.69
6/21/2022	545.59	42,600.00	795.29	169,000.00	695.65	64,000.00	434.55
6/22/2022	545.99	42,800.00	791.57	169,000.00	690.22	63,500.00	425.43
6/23/2022	551.65	43,200.00	815.35	170,000.00	690.22	63,500.00	422.64
6/24/2022	556.97	43,600.00	815.35	170,000.00	690.22	63,500.00	423.13



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